PARAMOUNT MARKET RESEARCH REPORT

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Movie marketing, an underappreciated gem

gems

see it?

since 2023

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MEET THE TEAM



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COMPANY OVERVIEW

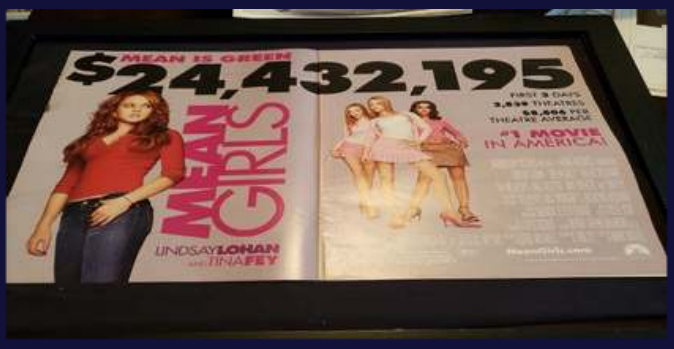
Our company GEMS has a fascination with movies and how they bring people together, specifically to the theater. Our name was born through the idea that the film industry is an underappreciated gem. We have dedicated our organization to researching all the ins and outs of what makes your average movie viewer tick, and how exactly to turn on that clock for the less average. Thankfully for us, our research approach can be a bit more fun because it includes us viewing countless movie trailers. We will be researching past movie Paramount promotions and how audiences have reacted to them relative to box office numbers, specifically in Paramount's more recent marketing history. We love the history behind film, and we are excited to explore how years of film and marketing promotion has progressed and how the customer base has evolved. While a lot goes into our company and all roles are created equal; market researcher, graphic designer, movie trailer watcher- we have decided to split the fun among our team. Having an all-hands-on deck approach allows us all to learn new avenues, this way we can grow in our individual skills as well as our team

Industry Overview

Today's fast-paced corporate world requires market understanding. This research seeks to provide an in-depth analysis of Paramount target market, including its size, growth rate, trends, and main competitors.

Overview

We've chosen to market the film production company, Paramount. We chose this topic because as of recently they have been doing stellar promotion for their newest releases like the newest Scream installation ending with a break in the box office. Paramount often utilizes various channels for marketing such as social media, outdoor advertising, and marketing stunts to build anticipation. We'd like to research how exactly consumers interact with Paramount's promotions and marketing techniques. Paramount is a physical and online business owned today by National Amusements. Paramount is a considerable entity that has a global net worth of $10.61B as of June 19th, 2023. Paramount global after many business deals has become Paramount Global and is the main company that has many subdivisions. Paramount Pictures runs under Paramount Global, which is responsible for a lot of the film production/marketing. (Paramount Global Net Worth [1], 2022)



Key Features Of the Industry

This section covers the Film industry's size, growth, and trends. Our team evaluated data sources, identified market leaders, analyzed their share, and explored industry drivers and obstacles in the competitive landscape.

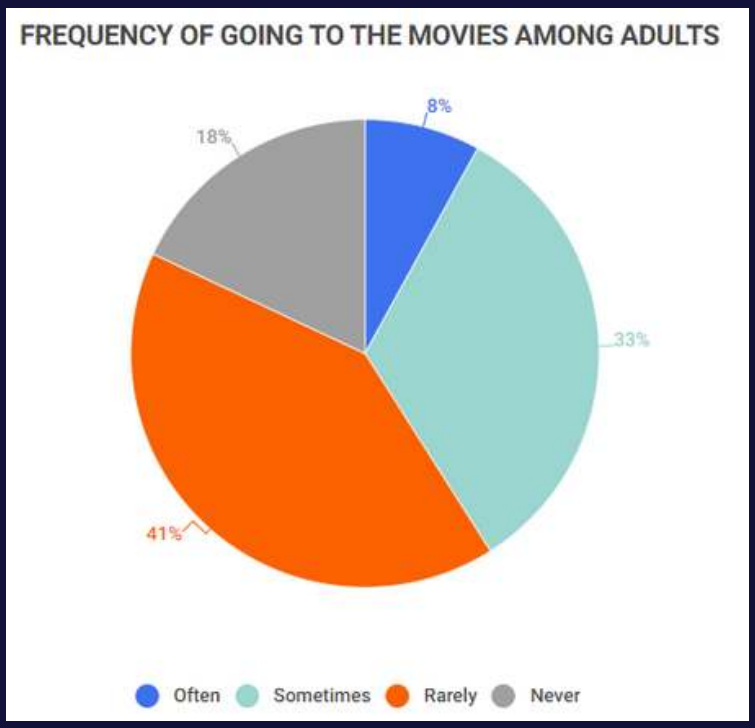
Currently, the film industry is worth $42.5 billion, which is lower than a few years ago, mostly due to the pandemic. The United States and Canada (also known as the North American movie market) and China draw in by far the largest numbers in terms of box office gross, with China in the lead. In terms of domestic box office revenue, the United States made over $7.35 billion in 2022. Down from $11.4 billion in 2019, but still good, nonetheless. (2022 box office 2021 comparison [2], n.d.) Top Gun: Maverick was the highest grossing movie of that year with $718.7 million in the U.S. alone and is coincidentally a Paramount produced movie.



There are many current trends nowadays that film companies are trying to jump on. Every major film studio has or is part of a streaming service now. The top 5 most profitable genres are Action, Animated, Sci-fi/Fantasy, Horror, and Drama. Also, companies have a heavy focus on franchises. So far 7 out of 10 or highest grossing movies of 2023 have been sequels. (Top grossing movies of 2023 [5], n.d.) Paramount is jumping on the train themselves with Scream 6, Transformers: Rise of the Beasts, and Mission Impossible: Dead Reckoning- Part one all expected to be big box office products from the company

CUSTOMER LANDSCAPE

While the film industry is still thriving, the popularity of streaming has made going to the theaters decline in popularity over the last few years.The streaming industry is now worth over $50 billion compared to the film industry at $42.5 billion. (2023 streaming statistics [8], n.d.) Well over half of U.S. adults say they rarely or never go to the movies.



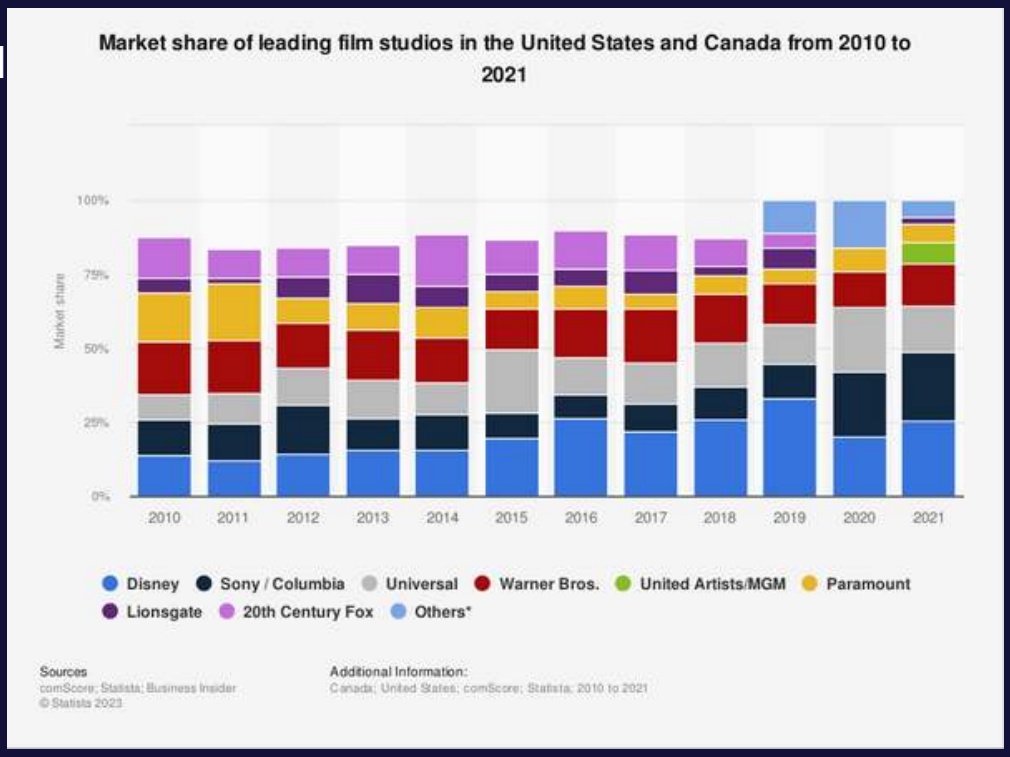
(United States film industry statistics [6], n.d.)

Audiences can now just wait for a movie to come out on streaming in just a few months or less, making them a lot more motivated to just wait and skip the theaters. This shows with recent summer movies not doing well at the box office, either underperforming like Indiana Jones, or straight up bombing like The Flash. It is reported that Gen Z sees the most movies in the theater. (United States film industry statistics [6], n.d.) Companies nowadays are in a tricky spot in that they have to make their services good by putting their big movies on there, but in doing so it defeats the purpose of seeing it in theaters. The theater experience is different than the home viewing one but there are still pros to home viewing such as being able to pause.

COMPETITIVE LANDSCAPE

Paramount Pictures operates in a highly competitive landscape within the film industry. It faces competition from other major film studios like Warner Bros., Universal Pictures, Sony Pictures, and Disney, as well as independent production companies. The industry is characterized by fierce rivalry for audience attention, box office success, and streaming platform deals.

Paramount aims to differentiate itself through its diverse film lineup, successful franchises, and collaborations with renowned directors. However, it must continually adapt to changing market dynamics, evolving audience preferences, and the rise of streaming services to maintain its competitive position and capture a share of the highly competitive entertainment market.



(Market share of film studios in North America [7], n.d.)e

COMPETITIVE LANDSCAPE (CONT')

It is projected that the online streaming industry will reach a worth of $330 billion by the year 2030 (35 Streaming Services Statistics for 2023 n.d.)- any film competitor looking to keep their edge will eventually have to join.

DECISION PROBLEM

From our research on Paramount, we asked ourselves...

How can Paramount improve its brand health?

Delving into this question we started to think of our own thoughts about Paramount.

After team discussions, we began to notice similar patterns in our thoughts.

The biggest being,
"Is Paramount taking advantage of their big hits?"

RESEARCH PROBLEMS

BELOW ARE QUESTIONS WE RECOMMENDED PARAMOUNT CONSIDER.

1. How likely are you, depending on the season, to indulge in a scary movie?
2. How likely are you to buy merchandise from Paramount?
3. What actors are you attracted to in Paramount movies and shows?
4. What directors/writers are you interested in on Paramount movies and shows?
5. Among the following Paramount movies, which one is your favorite
6. What drives you to see a movie in theaters the most?

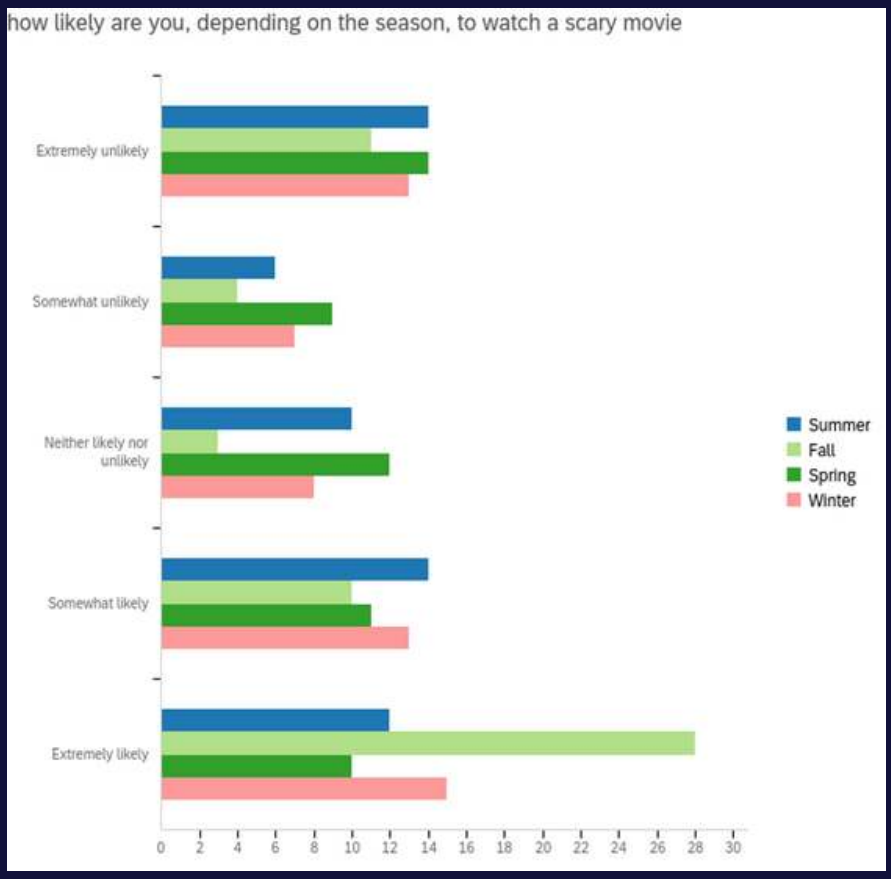
METHODOLOGY

This section will briefly cover the process of creating and uploading our Qualtrics survery via Cloud Connect.

We used Qualtrics to deisgn our survey about the perceptions of Paramount's marketing which made it easy and accessible for respondenets to engage with. We used the platform Cloud Connect for our research which was very efficient. We had 50 respondents, receiving a payment of $1. We estimated that our respondents would spend around 5 minutes on the survey, which was very close to our end average of 4 and 1/2 minutes. The geographical location we targeted was the United States and our completion rate was 96.15%. We did have some respondents opt out of the survey because of an issue with the age range question we administered.

UNIVARIATE RESULTS

In this section we will dicuss our univariate findings. The goal of this analysis was to find out what precisely makes the general population want to come into the theater, and what find what Paramount can improve to increase numbers, pertaining to money and customer inflow.



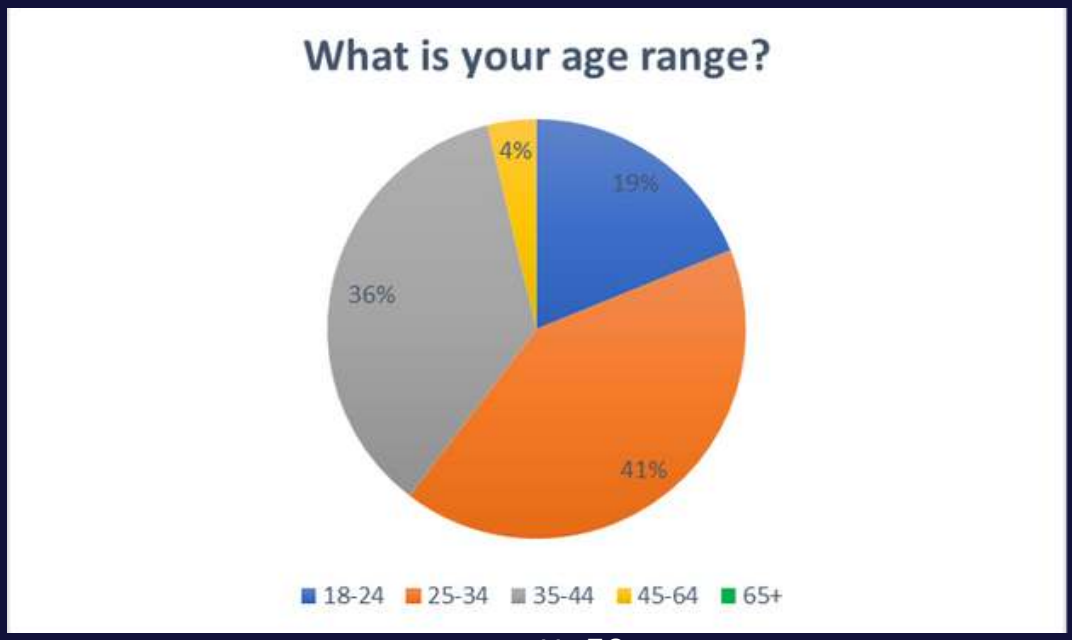
N=50

This graph shows how likely the respondents are to purchase merchandise from Paramount. The majority of respondents are either indifferent to buying merchandise or unlikely to. Our assumption is that since most of the people who took the survey are 25 or older, they probably aren't interested in buying toys or memorabilia unless it's for their kids.



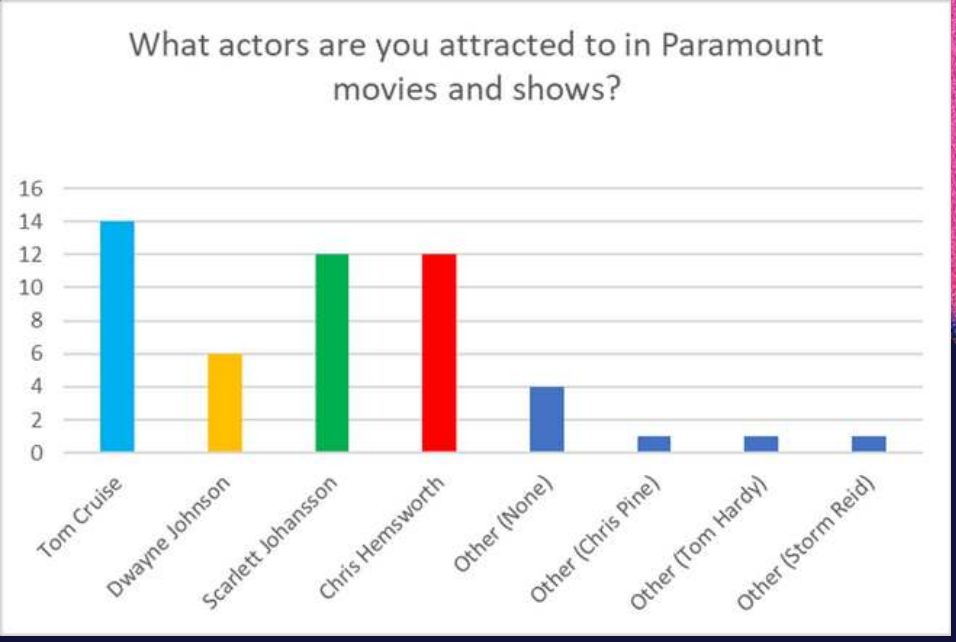
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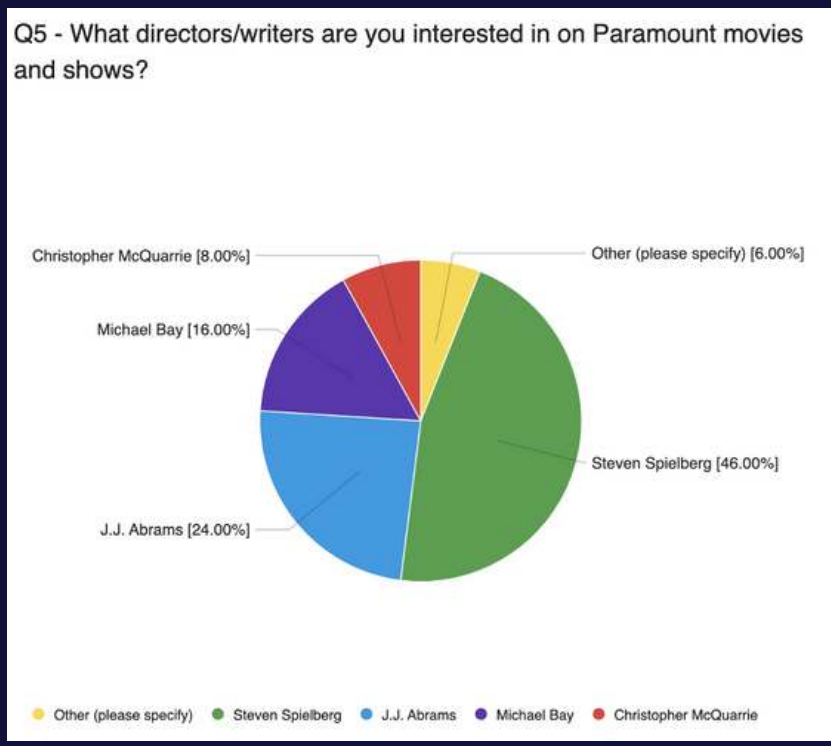
N=50

This graph shows the percentages of respondent's age ranges. A large portion is people ages 25-44, so Paramount might have to focus more on what these age groups want from the company.



N=50

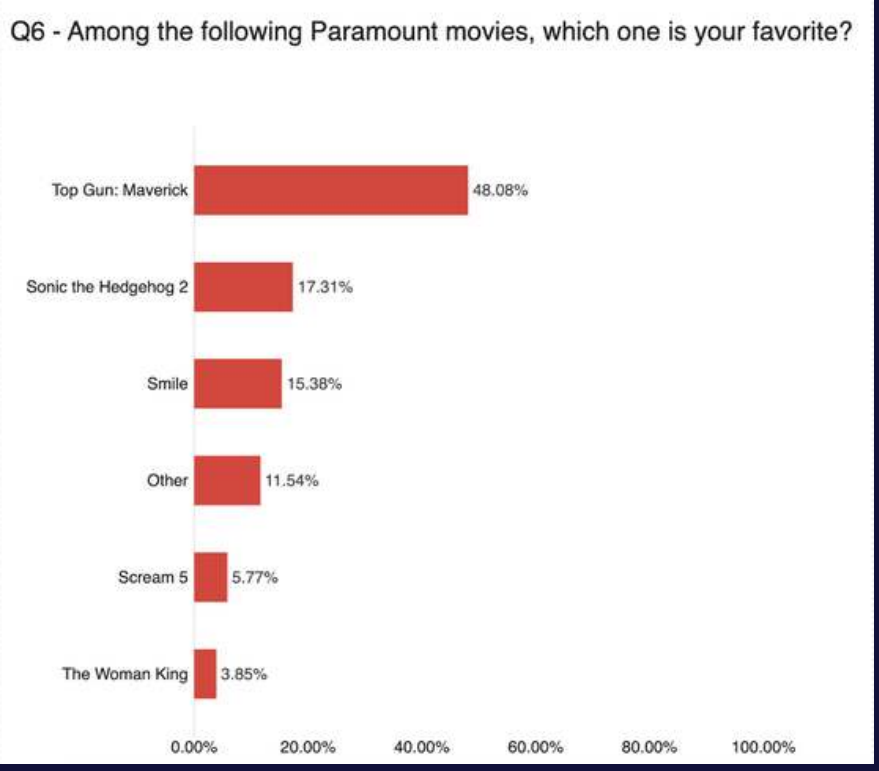
This chart shows what actors attract the most customers in Paramount movies and shows. Tom Cruise is in the lead mostly due to popular action movies like Top Gun and Mission Impossible.



N=50

This chart shows what directors Paramount consumers are most interested in. According to our results, we can see consumers are very interested in Steven Spielberg movies. From these results Paramount should look into adding more Steven Spielberg movies or adding more content related to genres of movies Steven Spielberg has directed.

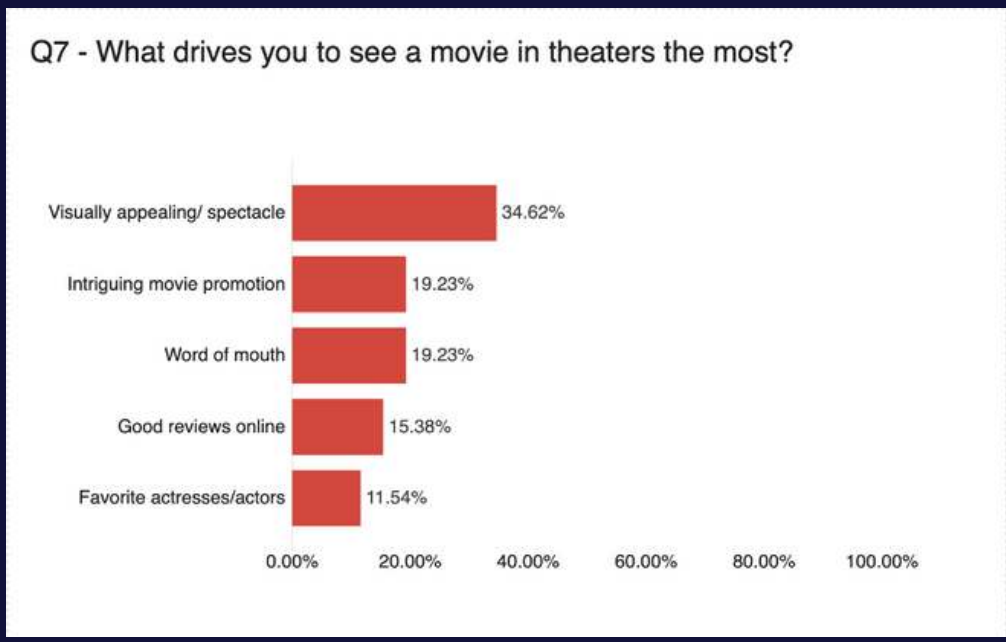
Out of our 50 respondents, 6% chose 'other', we asked them to specify, and all wrote they don't care much for specific directors.



N=50

This chart shows us respondents' favorite Paramount movie (with the following choices). As seen in the results, consumers highly favor Top Gun: Maverick. To bring in a larger audience of consumers, Paramount may want to focus on promoting movies similar to Top Gun: Maverick.

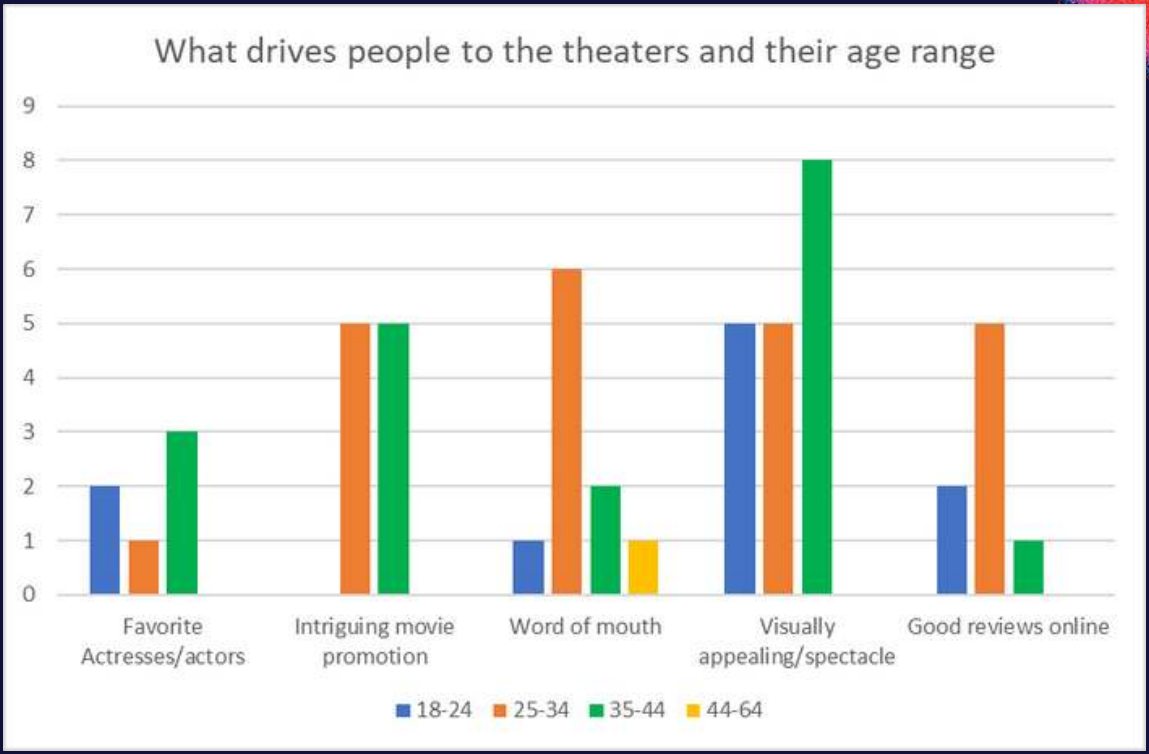
Out of our 50 respondents, 6% chose others, we asked them to specify, and all wrote they don't care much for specific directors.



This chart shows us results from the question of "What drives you to see a movie in theaters the most?". From the results we can see that respondents are brought to theaters in all these different ways. Of course we can see that movies with visual appeal/spectacle was the biggest reason.

Paramount can take advantage of this by either creating promotions with better visual appeal or choosing to promote movies with the best visuals.

BIVARIATE RESULTS



N=50

This graph shows both the results of what drives people to go to the movie theaters and the amount of people in each age range who chose it. It seems like younger people don't care as much about intriguing movie promotions, and word of mouth is definitely a big factor among 25-34 year olds. The data supports the a movie being visually appealing is one of the main factors for it's success.

RECOMMENDATIONS

In this section we will discuss possible recommendations that Paramount could incorporate into their business that would increase sales, according to our research.

Because we chose the decision problem of 'How can Paramount improve its brand health', we have a lot to work with. We asked our respondents when are they most likely to indulge in a horror film; to no ones surprise, customers are eager to join in on the Halloween festivities when Fall comes around. Because of this, we suggest that Paramount begins rolling out big Fall promotions every Halloween season. Because our results indicated that 18.87% of people come to the theaters because of intriguing movie promotion, we suggest, more than anything, that Paramount utilizes this contender during the fall time doing more promotions like Scream 6 and Smile.

18.87% of people also are drawn to theaters because their friend gave them a recommendation. Because Paramount is trying to keep up with the bigger businesses like Warner Bros., we reccomend that Paramount starts a 'word of mouth' deal, where you bring a friend out with you and enjoy a free ticket to any Paramount movie currently in theaters or releasing in the next 6 months. Paramount can run this deal for a few months to promote their movies and also promote good old fashioned movie culture of sharing a good film with your friend in a theater with popcorn all over the floor. Setting a time limit on the movie tickets will ensure they are not taken advantage of. Lastly, based on our findings

RECOMMENDATIONS (CONT')

We believe that Paramount should increase their bigger promotions. 35.85% of respondents go to theaters because they see a movie that they find visually appealing or a spectacle. Promotions like Paramount's 'Smile' or Warner Bros. 'Barbie' outdid other promotions because they were constantly surrounding you, but they still made you want to look. Setting up opticals for future movies in theaters is sure to catch customer's attention.

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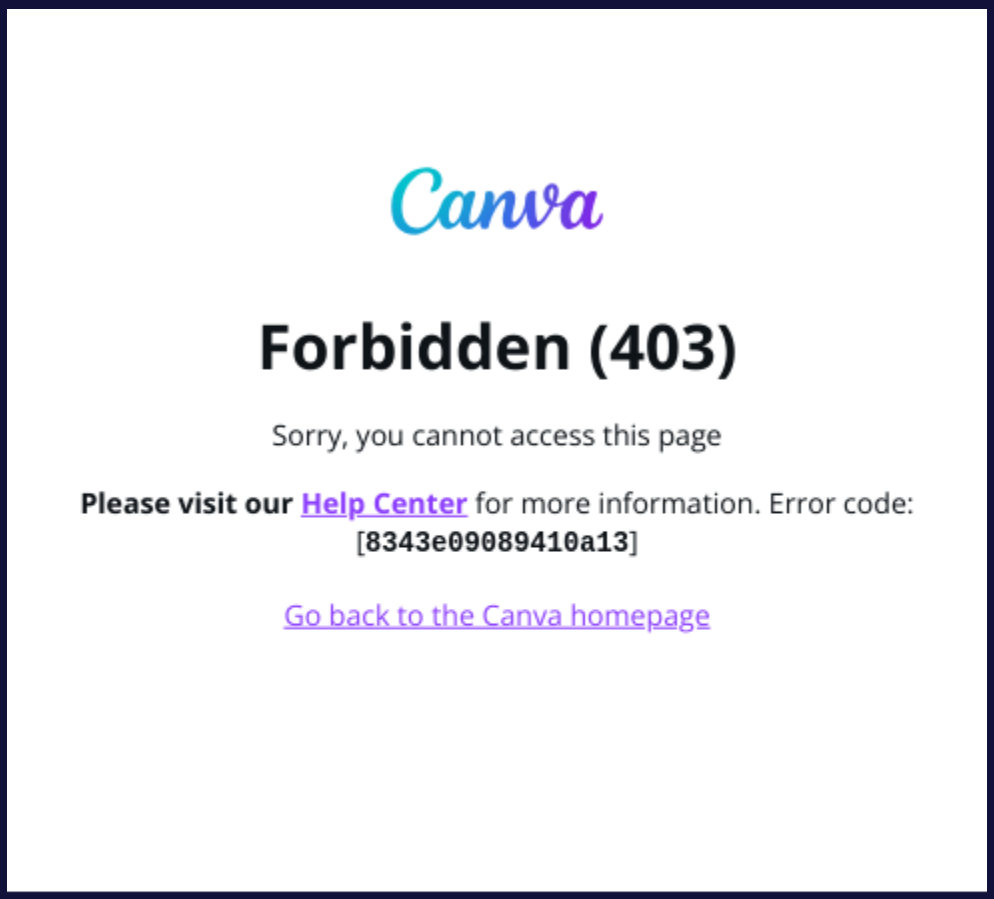
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